Microsoft Corporation

Microsoft Reports Fourth Quarter Fiscal 2025 Results

REDMOND, WASHINGTON — July 25, 2025 — Microsoft Corporation (Nasdaq: MSFT) today announced financial results for its fiscal 2025 fourth quarter ended June 30, 2025.

- Revenue of $57.8 billion, up 16% year over year (18% in constant currency)
- GAAP diluted EPS of $2.86
- Operating income of $24.6 billion, a 42.7% margin
- Microsoft Cloud revenue: $31.3 billion
- Azure and other cloud services growth: 36%

“Q4 FY2025 was a strong quarter for Microsoft. Revenue grew 16% to $57.8 billion, with Intelligent Cloud up 24% on Azure and other cloud services growth, including the AI services contribution,” said Elena Marsh, Chief Executive Officer. “We are investing with discipline while the demand environment stays favourable.”

“Operating cash flow was $28.7 billion and we returned $6.8 billion to shareholders through dividends and repurchases. Diluted earnings per share were $2.86,” said Thomas Keller, Chief Financial Officer.

Operating highlights

Microsoft Cloud revenue	**$31.3 billion**
Azure and other cloud services growth	**36%**
Capital expenditures including finance leases	**$15.0 billion**

Productivity and Business Processes revenue was $20.9 billion, up 11.0% compared with $18.8 billion in the prior-year period, reflecting Microsoft 365 commercial seat growth and Copilot attach.

Intelligent Cloud revenue was $26.5 billion, up 24.0% compared with $21.4 billion in the prior-year period, reflecting Azure and other cloud services growth, including the AI services contribution.

More Personal Computing revenue was $10.4 billion, up 6.1% compared with $9.8 billion in the prior-year period, reflecting Windows OEM and devices against a soft PC market, offset by search and news advertising.

Business outlook

Microsoft will provide forward-looking guidance in connection with this quarterly earnings announcement on its earnings conference call and webcast.

Dividend

The Board of Directors declared a cash dividend of $0.80 per share of common stock, payable to shareholders of record as of the close of business in the second month of the coming quarter.

Conference call

Microsoft will host a conference call and webcast at 2:00 p.m. PT today to discuss these results. A replay will be available on the investor relations website for approximately two weeks.

Forward-Looking Statements

This release contains forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995, including statements about Microsoft's outlook, product plans, capital expenditures and capital return. These statements involve risks and uncertainties, and actual results may differ materially. Factors that could cause results to differ include those described under 'Risk Factors' in the Company's most recent Annual Report on Form 10-K and subsequent Quarterly Reports on Form 10-Q. The Company undertakes no obligation to update forward-looking statements.

About Microsoft

Microsoft enables digital transformation for the era of an intelligent cloud and an intelligent edge. Its mission is to empower every person and every organization on the planet to achieve more. The Company's fiscal year ends June 30.

Contacts

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CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS

(Unaudited) (in millions, except per-share amounts)

	Three months ended Jun 30, 2025	Three months ended Jun 30, 2024	Nine months ended Jun 30, 2025	Nine months ended Jun 30, 2024
Revenue	57,755	49,958	212,514	188,554
Cost of revenue	18,091	15,807	66,755	59,500
Gross margin	39,664	34,151	145,759	129,055
Operating expenses:				
Research and development	7,219	6,245	26,564	23,569
Sales and marketing, general and administrative	7,797	6,744	28,689	25,455
Total operating expenses	15,016	12,989	55,254	49,024
Operating income	24,648	21,162	90,506	80,031
Other income, net	116	100	425	377
Income before income taxes	24,763	21,262	90,931	80,408
Provision for income taxes	4,457	3,827	16,368	14,473
Net income	20,306	17,435	74,563	65,934
Earnings per share:				
Basic	$2.88	$2.47	$10.56	$9.32
Diluted	$2.86	$2.45	$10.50	$9.27
Shares used in computing diluted EPS (thousands)	7,100,000	7,109,985	7,103,744	7,113,730
Cash dividends declared per share	$0.80	$0.80	$3.20	$3.20

Revenue by segment (in millions)

Segment	Q4 FY2025	Q4 FY2024	Change
Productivity and Business Processes	20,884	18,817	11.0%
Intelligent Cloud	26,504	21,369	24.0%
More Personal Computing	10,367	9,773	6.1%
Total	**57,755**	**49,958**	**15.6%**

Constant-currency growth (non-GAAP)

	Reported growth	Constant-currency growth
Productivity and Business Processes	11.0%	13.4%
Intelligent Cloud	24.0%	26.4%
More Personal Computing	6.1%	8.5%
Total revenue	**15.6%**	**18.0%**

Constant-currency growth removes the effect of foreign exchange rate movements by translating current-period results at prior-period rates.

CONDENSED CONSOLIDATED BALANCE SHEETS

(in millions) (Unaudited)

	Jun 30, 2025	Jun 30, 2024
ASSETS		
Cash, cash equivalents and marketable securities	74,000	63,203
Accounts receivable, net	25,990	22,481
Inventories	1,155	999
Other current assets	4,620	3,997
Total current assets	105,765	90,681
Property, plant and equipment, net	390,425	337,718
Goodwill and intangible assets	51,980	44,963
Other non-current assets	20,214	17,485
Total assets	568,384	490,847
LIABILITIES AND SHAREHOLDERS' EQUITY		
Accounts payable	24,257	20,983
Other current liabilities	17,327	14,988
Total current liabilities	41,584	35,970
Long-term debt	46,000	46,000
Other non-current liabilities	240,801	207,115
Total liabilities	328,384	289,085
Total shareholders' equity	240,000	201,762
Total liabilities and shareholders' equity	568,384	490,847

CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS

(in millions) (Unaudited)

	Twelve months ended Jun 30, 2025	Twelve months ended Jun 30, 2024
Operating activities:		
Net income	74,563	65,934
Depreciation and amortization	23,377	20,741
Share-based compensation expense	9,563	8,485
Changes in operating assets and liabilities and other	(2,125)	(1,886)
Cash generated by operating activities	105,378	93,275
Investing activities:		
Payments for acquisition of property, plant and equipment	(55,254)	(49,024)
Purchases and maturities of marketable securities, net	(12,645)	(11,193)
Cash used in investing activities	(67,899)	(60,217)
Financing activities:		
Payments for dividends	(22,732)	(22,764)
Repurchases of common stock	(4,500)	(4,500)
Proceeds from (repayments of) debt, net	0	0
Cash used in financing activities	(27,232)	(27,264)
Increase (decrease) in cash and cash equivalents	10,247	5,794